

I'm a bit mystified as to where the flag is. I show one at F. The flag is well below the buy price, so maybe I wrote *flag* when I meant *pennant* (G). If I meant *pennant*, then yes, price was encountering resistance there (peak D aligns with G).

Here are words I don't like to read: "I feel like this trade is not going to work."

I don't write much about the inner voice a trader has, but it's important. It's the voice in your head that speaks to you (call it intuition). When your enthusiasm is soaring, it's the calmer voice whispering the warnings.

When trading, I find it's often correct, but it can be difficult to distinguish the correct whisper from the shouted warnings of the incorrect ones. Unfortunately it's rare that I'll be able to separate it from everything else going on and obey it.

It's a lot like a premonition, a voice that warns something bad is going to happen. How many times has it warned you that you're going to drop something, the phone is going to ring, or you'll spill something, and then, thirty seconds later, it happens?

The trading voice is a whisper signaling a note of caution. Sometimes it's loud enough to reach my consciousness and I write it down, like I did in my notebook: "This trade is not going to work."

Wish I had listened.

Returning to the trade, the stock hit my stop-loss order at the open and took me out of the trade at 16.90 just two trading days after I entered. Here's my trading notebook: "I didn't think I'd be stopped out. At first, the loss didn't bother me [but], then I got mad. I got a quote and saw that the stock dropped to 16.53, a massive decline of 1.15 [\$2.29 split unadjusted] from the prior close, and that made me feel better. Price was rebounding, but still below my stop (16.93) and below where the stock sold (16.90). These things happen. Sell reason: Stopped out. That's a 3-day drop from 18 to 16.50. *Ouch.*"

I sold at the opening price, B, and lost 7% on the trade. The stock continued down 7% below my sell price and 13% below the buy price. If I didn't use a stop, I could have lost 13% (worst case).